UNIT 1

Q1. What is CRM? What are the different forms of CRM?

Definition:
Customer Relationship Management (CRM) is a business strategy and software system used to manage interactions with customers throughout their lifecycle. It helps organizations understand customer behavior, improve communication, increase satisfaction, and build long-term profitable relationships.

Forms of CRM:

1. **Operational CRM:**
    - Focuses on automating customer-facing business processes such as sales, marketing, and service support.
    - Examples include sales force automation, call center management, and marketing automation tools.
2. **Analytical CRM:**
    - Deals with collecting, analyzing, and interpreting customer data to support decision-making.
    - It helps in customer segmentation, trend analysis, forecasting, and measuring campaign effectiveness.
3. **Collaborative CRM:**
    - Aims to improve communication and coordination between different departments and customers.
    - It supports multiple communication channels like emails, social media, live chat, and telephone to give a seamless customer experience.
4. **Strategic CRM:**
    - Focuses on developing long-term customer value and loyalty rather than short-term sales.
    - It aligns company goals, culture, and processes to maintain strong customer relationships.
5. **Campaign Management CRM:**
    - Combines operational and analytical CRM to plan, run, and track marketing campaigns.

- Helps target the right customers with personalized messages and promotional offers.

Q2. List and explain various CRM models.

CRM models provide structured methods to implement CRM strategies effectively. These models help organizations understand customer behavior, improve service, and build long-term relationships.

Various CRM Models:

1. **IDIC Model (Identify, Differentiate, Interact, Customize):**
    - **Identify:** Recognize customers and collect relevant information.
    - **Differentiate:** Categorize customers based on value and needs.
    - **Interact:** Maintain effective communication to understand expectations.
    - **Customize:** Provide personalized products and services based on customer preferences.
2. **CRM Value Chain Model:**
    - Focuses on creating and delivering superior value to customers for long-term retention.
    - Includes steps like customer portfolio analysis, customer intimacy, network development, and relationship management.
3. **Payne's Five-Process Model:**
    - Contains processes like strategy development, value creation, multichannel integration, information management, and performance assessment.
    - Helps align CRM activities with business goals for better customer results.
4. **QCI Model (Quality Competitive Index):**
    - Emphasizes improving customer experience through processes like customer contact, service delivery, and feedback.
    - Focuses on customer satisfaction, loyalty, and retention.
5. **Buttle's CRM Value Chain Model:**
    - Highlights primary activities such as customer acquisition, retention, and development.
    - Also includes supporting activities like culture, leadership, and IT infrastructure.

Q3. What is relationship? What are different phases used to build customer–supplier relationships?

Relationship:
A relationship is a long-term interaction and connection between two parties based on trust, communication, and mutual benefit. In CRM, a relationship refers to the ongoing association between a customer and a supplier where both parties exchange value — the customer receives products/services, and the supplier gains revenue and loyalty.

Phases to Build Customer–Supplier Relationships:

1. **Awareness Phase:**
    - The customer becomes aware of the supplier's products or services through advertisements, word-of-mouth, or market presence.
    - No direct interaction occurs, but interest begins to form.
2. **Exploration Phase:**
    - Initial contact is established between customer and supplier.
    - The customer evaluates product quality, pricing, communication, and service level through trial purchases or inquiries.
3. **Expansion Phase:**
    - The relationship grows as trust increases.
    - Customers start purchasing more frequently, and suppliers offer better service, discounts, or customized solutions.
4. **Commitment Phase:**
    - Both parties develop a strong long-term bond based on reliability and satisfaction.
    - Switching cost becomes high for the customer, and loyalty develops.
5. **Dissolution (Decline) Phase (Optional):**
    - If expectations are not met, the relationship may decline or end.
    - Reasons include poor service, better competitor offer, or reduced trust.

Q4. Explain two-dimensional Loyalty model. 5. What are the different sources of B2B leads?

The Two-Dimensional Loyalty Model evaluates customer loyalty using two key dimensions: **attitudinal loyalty** and **behavioral loyalty**. It helps organizations understand why customers stay loyal and how strong that loyalty is.

Dimensions of the Model:

1. **Attitudinal Loyalty:**
    - Represents a customer's emotional commitment and positive attitude toward the brand.
    - Includes trust, satisfaction, personal preference, and willingness to recommend the brand.
    - Customers with high attitudinal loyalty believe the brand provides value.
2. **Behavioral Loyalty:**
    - Refers to actual purchase behavior, such as repeat purchases, usage frequency, and long-term buying patterns.
    - A customer may repeatedly buy due to habit, convenience, or lack of alternatives.

Customer Categories in the Model:

1. **No Loyalty (Low Attitude, Low Behavior):**
    - Customers do not prefer the brand and seldom purchase it.
    - Often price-sensitive or experimental buyers.
2. **Spurious (False) Loyalty (Low Attitude, High Behavior):**
    - Customers buy repeatedly but not because they like the brand.
    - Loyalty is situational (e.g., discounts, availability, low switching cost).
3. **Latent Loyalty (High Attitude, Low Behavior):**
    - Customers like the brand but purchase infrequently.
    - External barriers exist, such as price, availability, or switching constraints.
4. **True Loyalty (High Attitude, High Behavior):**
    - Customers emotionally value the brand and consistently purchase it.
    - They advocate, recommend, and stay loyal even if alternatives exist.

Q5. What are the different sources of B2B leads?

B2B (Business-to-Business) leads are potential business customers who show interest in a company's products or services. Organizations use different online and offline channels to identify and attract these leads. Effective lead generation helps increase sales opportunities, market reach, and long-term business relationships.

Major Sources of B2B Leads:

1. **Website and SEO (Search Engine Optimization):**
    - Businesses generate leads through website contact forms, landing pages, chatbots, and downloadable content.
    - SEO attracts organic traffic from search engines, bringing interested and qualified leads.
2. **Social Media Platforms:**
    - Platforms like LinkedIn, Facebook, Twitter (X), and YouTube are major channels for networking and outreach.
    - LinkedIn Ads, groups, and professional networking are especially effective for B2B industries.
3. **Email Marketing and Newsletters:**
    - Businesses send promotional emails, follow-ups, product updates, and personalized offers to potential companies.
    - It is cost-effective and helps nurture long-term relationships.
4. **Trade Shows, Exhibitions, and Business Events:**
    - Face-to-face interactions during conferences or expos help meet decision-makers directly.
    - These events generate high-quality leads and build trust faster.
5. **Referrals and Existing Customers:**
    - Satisfied clients often recommend solutions to other businesses within their network.
    - Referral leads are usually high-trust and have a high conversion rate.
6. **Telemarketing and Cold Calling:**
    - Sales teams contact businesses directly through calls to introduce products and evaluate interest.

    - Still widely used in industries like manufacturing, IT services, and consulting.

7. **Online Lead Databases and Directories:**
    - Platforms like IndiaMART, JustDial, Alibaba, or industry-specific databases provide business contacts.
    - Companies use these directories to target relevant businesses quickly.

Q6. Write short note on economics of customer retention.

customer retention refers to a company's ability to keep existing customers and maintain long-term relationships. The economics of customer retention highlights the financial benefits a business gains when it focuses on retaining customers rather than acquiring new ones.

Key Points:

1. **Lower Cost Than Acquisition:**
    - Acquiring a new customer is often 5–10 times more expensive than retaining an existing one.
    - Retention requires less marketing and sales effort.
2. **Higher Profitability:**
    - Existing customers are more likely to make repeat purchases.
    - Over time, their purchase volume increases, leading to higher profits.
3. **Customer Lifetime Value (CLV) Improvement:**
    - Loyal customers stay longer and generate more revenue throughout their lifetime.
    - Businesses can predict long-term income more accurately.
4. **Increased Cross-Selling and Upselling:**
    - Retained customers trust the brand and are more open to buying additional or upgraded products.
    - This boosts revenue without extra acquisition cost.
5. **Referrals and Word-of-Mouth:**
    - Loyal customers recommend the brand, helping generate new leads at little or no cost.
    - This reduces marketing expenses.

6. **Competitive Advantage:**
    - High retention prevents customers from switching to competitors.
    - Strong relationships act as a barrier against competition.

Q7. Explain Holbrook's typology of consumer value.

Holbrook's typology of consumer value is a framework that explains how customers derive value from products or services. It identifies different types of values based on how consumers experience products emotionally, socially, or functionally. The model is built on three dimensions: **Extrinsic vs. Intrinsic**, **Self-oriented vs. Other-oriented**, and **Active vs. Reactive**.

Types of Consumer Value:

1. **Efficiency (Extrinsic + Self-Oriented + Active):**
    - Value gained when a product saves time, effort, or money.
    - Example: Online banking or fast delivery services.
2. **Excellence (Extrinsic + Self-Oriented + Reactive):**
    - Value based on product quality, performance, and reliability.
    - Example: Premium laptop or high-quality healthcare service.
3. **Status (Extrinsic + Other-Oriented + Active):**
    - Value derived from showing wealth or prestige to others.
    - Example: Luxury cars or branded clothing.
4. **Esteem (Extrinsic + Other-Oriented + Reactive):**
    - Value based on recognition or appreciation from others.
    - Example: Awards, certificates, or social media likes.
5. **Play (Intrinsic + Self-Oriented + Active):**
    - Value from fun, enjoyment, or entertainment.
    - Example: Games, movies, theme parks.
6. **Aesthetics (Intrinsic + Self-Oriented + Reactive):**
    - Value based on beauty, design, style, or emotional attraction.
    - Example: Art, interior decor, or fashion.

7. **Ethics (Intrinsic + Other-Oriented + Active):**
    - Value derived from doing good for society, environment, or others.
    - Example: Eco-friendly products or charity purchases.
8. **Spirituality (Intrinsic + Other-Oriented + Reactive):**
    - Value based on emotional connection, purpose, or inner fulfillment.
    - Example: Meditation, religious products, or inspirational books.

Q8. What are the strategies for customer value creation?

Customer value creation refers to delivering products and services that meet or exceed customer expectations while offering benefits that customers consider valuable. The goal is to increase satisfaction, loyalty, and long-term profitability.

Strategies for Customer Value Creation:

1. **Superior Product Quality:**
    - Offer high-quality, durable, and innovative products that solve customer problems efficiently.
    - Continuous improvements help maintain market leadership.
2. **Personalization and Customization:**
    - Tailoring products, services, and communication to individual customer needs and preferences.
    - Enhances customer satisfaction and emotional connection.
3. **Competitive Pricing and Value-Based Pricing:**
    - Prices should reflect the value delivered to customers.
    - Attractive pricing combined with good quality encourages repeat buying.
4. **Enhanced Customer Experience:**
    - Deliver smooth interactions through multiple channels like in-store, website, and customer support.
    - Fast service, easy processes, and positive engagement increase value perception.
5. **Efficient Service and Support:**
    - Quick response to complaints, after-sales support, and proactive problem solving.

- Builds trust and reduces switching behavior.

6. **Innovation in Products and Processes:**
    - Introducing new features, technologies, or services to stay ahead of competition.
    - Helps customers experience better convenience and functionality.
7. **Relationship Building and Communication:**
    - Regular communication using CRM tools to maintain engagement.
    - Loyalty programs, feedback, and follow-ups strengthen long-term relationships.

Q9. What is Customization?

Customization refers to the process of modifying and adapting products, services, or communication to match the unique needs, preferences, and expectations of individual customers or specific customer segments. Instead of offering a standard solution to all, the business creates a personalized experience that fits each customer's requirements. Customization is an important CRM concept because it helps build stronger relationships and increases customer satisfaction.

Key Points:

1. **Customer-Specific Adaptation:**
    - Customization allows customers to choose or request product features such as design, size, color, service level, or content based on their personal choice.
    - This ensures the product or service fits their exact requirements.
2. **Higher Satisfaction and Customer Experience:**
    - Since the offering is aligned with customer expectations, it creates a positive user experience.
    - Customers feel valued because the business understands their individual needs.
3. **Customer Loyalty and Retention:**
    - Personalized solutions make it harder for customers to switch to competitors.
    - Over time, customization helps create loyalty, emotional attachment, and long-term relationships.

4. **Technology and CRM Support:**
    - Tools like CRM systems, data analytics, AI, and customer profiling help businesses understand customer behavior and deliver customized recommendations.
    - Examples include personalized email offers and product suggestions.
5. **Competitive Advantage:**
    - Customization differentiates a business in a competitive market.
    - It allows companies to charge premium prices because the product delivers higher perceived value.

Q10. What is Mass Customization? Explain various types of it.

Mass Customization is a business strategy where products or services are customized to meet individual customer needs, but production is carried out on a large scale similar to mass production. It combines the flexibility of personalization with the efficiency, speed, and cost advantages of mass production. The goal is to provide uniqueness without significantly increasing cost or production time.

Types of Mass Customization:

1. **Collaborative Customization:**
    - The business works directly with the customer to design the product.
    - Customers express their needs and preferences, and the company adjusts the offering accordingly.
    - **Example:** Customized furniture design or personalized coaching plans.
2. **Adaptive Customization:**
    - A standard product is produced, but customers can modify or configure it after purchase based on usage.
    - The product is flexible and can be adjusted without changing its core structure.
    - **Example:** Adjustable office chairs or software with customizable settings.
3. **Cosmetic Customization:**
    - The product remains the same, but it is presented or packaged differently for different customers or segments.
    - Changes are mainly in appearance, packaging, labeling, or marketing style rather than product features.

- **Example:** Personalized gift packaging or branded merch.

4. **Transparent Customization:**
    - The customer receives a customized product, but the customization process happens automatically without their active involvement.
    - The business uses customer data and purchase history to personalize outcomes.
    - **Example:** Netflix recommendations, Amazon suggested items, or personalized interest-based ads.

UNIT 2

Q1. What is Customer Portfolio?

A **Customer Portfolio** refers to the structured grouping or classification of a company's customers based on their value, behavior, profitability, and relationship potential. Just like a financial portfolio manages different investments, a customer portfolio helps a business manage different types of customers effectively. The purpose is to identify high-value customers, nurture long-term relationships, and allocate resources efficiently.

Key Points:

1. **Customer Classification:**
    - Customers are grouped based on factors such as revenue potential, loyalty level, purchase frequency, and profitability.
2. **Better Resource Allocation:**
    - Helps businesses decide where to invest more time, effort, and marketing budget (usually toward high-value customers).
3. **Improves Customer Relationship Management:**
    - Different strategies are used for different customer groups—for example, retention strategies for loyal customers and acquisition for new prospects.
4. **Enhances Customer Lifetime Value (CLV):**
    - By identifying valuable customers, companies can focus on increasing repeat purchases and long-term engagement.
5. **Supports Decision-Making:**

    - Helps managers plan sales strategies, marketing campaigns, and service policies based on customer categories.

Example Categories in a Customer Portfolio:

- High-value customers
- Loyal customers
- New customers
- Potential customers
- Low-value or inactive customers

Q2. Write short note on Market Segmentation.

Market segmentation is the process of dividing a large and diverse market into smaller, more defined groups of customers who share similar characteristics, needs, or behaviors. Instead of treating the entire market as one group, segmentation allows businesses to target each segment with customized marketing strategies, products, and services.

Key Points:

1. **Purpose of Segmentation:**
    - It helps companies understand customer needs better and offer products that match specific preferences.
    - Improves marketing effectiveness and resource utilization.
2. **Basis of Market Segmentation:**
    - Markets can be segmented using factors such as:
        - **Demographic:** Age, gender, income, education.
        - **Geographic:** Region, climate, country.
        - **Psychographic:** Lifestyle, personality, values.
        - **Behavioral:** Buying behavior, usage rate, loyalty.
3. **Benefits of Segmentation:**
    - Helps in identifying profitable customer groups.
    - Enables personalized marketing and better customer satisfaction.
    - Supports better positioning and competitive advantage.
4. **Better Targeting and Positioning:**

- Companies can create focused campaigns and deliver the right message to the right audience.
- Leads to higher conversion and customer retention.

5. **Improves Product Development:**
    - Understanding segment needs helps in designing products and services that suit specific customer requirements.

Q3. Explain Tri-variate CPM models.

The **Tri-variate Customer Portfolio Management (CPM) Model** is used to classify customers based on **three important variables—Customer Value**, **Customer Relationship Strength**, and **Customer Migration Potential**. This model helps companies understand which customers should be retained, developed, or targeted more strategically.

Three Variables of the Model:

1. **Customer Value:**
    - Refers to the current revenue or profitability generated by the customer.
    - High-value customers contribute significantly to business profits, while low-value customers offer limited financial benefit.
2. **Customer Relationship Strength:**
    - Measures the emotional and behavioral attachment between the customer and the company.
    - Strong relationships indicate loyalty, trust, and high switching barriers, while weak relationships may lead to churn.
3. **Migration Potential:**
    - Represents the growth opportunity or future value of the customer.
    - Customers with high migration potential can become more profitable through cross-selling, up-selling, and long-term engagement.

Customer Categories in the Model:

Based on these three dimensions, customers are grouped into categories such as:

- **Key Customers:** High value, strong relationship, and high future potential.

- **Growth Customers:** Currently low value but high migration potential.
- **Maintain Customers:** Moderate value and stable relationship, requiring regular engagement.
- **Low Priority Customers:** Low value, weak relationship, and low growth potential.

Conclusion:

The Tri-variate CPM model helps organizations prioritize customers strategically, allocate resources effectively, and design targeted strategies for retention, development, and profit maximization.

Q4. What are different seven core customer management strategies?

Customer management strategies help organizations build strong relationships, improve customer satisfaction, and increase loyalty and profitability. The following seven core strategies guide businesses in managing customers effectively throughout the relationship lifecycle.

Seven Core Customer Management Strategies:

1. **Customer Selection:**
    - Identifying and choosing the right customers who offer maximum long-term value.
    - Focus is on segmenting and targeting profitable customers rather than serving everyone.
2. **Customer Acquisition:**
    - Attracting new customers through marketing campaigns, promotions, sales efforts, and referrals.
    - Helps grow the customer base and increase market share.
3. **Customer Retention:**
    - Keeping existing customers satisfied and loyal through personalized service, quality support, and loyalty programs.
    - Retention is cost-effective compared to acquiring new customers.
4. **Customer Development:**
    - Increasing revenue from existing customers by cross-selling, up-selling, and offering premium services.
    - Enhances Customer Lifetime Value (CLV) and strengthens relationships.

5. **Customer Strategy Alignment:**
    - Ensuring customer-related goals match business objectives, brand positioning, and operational capabilities.
    - Helps maintain consistency in product, pricing, and service delivery.
6. **Managing the Customer Experience:**
    - Delivering positive and seamless experiences across all customer touchpoints (online and offline).
    - Includes service quality, communication, responsiveness, and emotional engagement.
7. **Customer Value Measurement:**
    - Assessing customer profitability, loyalty levels, and engagement using metrics like CLV, churn rate, and satisfaction scores.
    - Helps businesses make informed decisions and improve CRM activities.

Q5. What are the various classes of Strategically Significant Customers (SSC)?

Strategically Significant Customers (SSC) are customers who have a major impact on an organization's long-term success. These customers are not always the most profitable today, but they hold strategic importance for future growth, market influence, or innovation opportunities.

Classes of Strategically Significant Customers:

1. **High Lifetime Value (LTV) Customers:**
    - These customers provide high profit over their lifetime through repeat purchases.
    - They are consistent buyers and contribute significantly to long-term revenue.
2. **High Potential Customers:**
    - These customers may not be profitable currently but have the potential to grow rapidly.
    - With proper nurturing, they may become valuable in the future.
3. **Strategic Partners:**
    - Customers who collaborate closely with the company on innovation, product development, or joint ventures.

- They help build competitive advantage and improve industry positioning.

4. **Benchmark or Prestige Customers:**
    - Well-known or reputable customers whose association enhances the company's brand image.
    - They act as reference clients and attract new business.
5. **Customers Who Inspire Innovation:**
    - These customers provide useful feedback, unique requirements, or creative ideas that lead to improvements and new product development.
    - They help companies innovate faster and stay competitive.
6. **Customers with Network or Influence:**
    - These customers influence other buyers through referrals, recommendations, or market leadership.
    - Their support helps the business strengthen credibility and expand its customer base.

Q6. What is Marketing Automation? Explain benefits of it.

Marketing Automation refers to the use of software tools and technology to automate repetitive marketing tasks such as email campaigns, social media posting, customer segmentation, lead nurturing, and performance tracking. It helps companies streamline their marketing processes and deliver personalized communication efficiently.

Benefits of Marketing Automation:

1. **Improved Efficiency:**
    - Routine tasks like sending emails, follow-ups, or scheduling campaigns are automated.
    - Saves time and reduces manual workload for marketing teams.
2. **Personalized Customer Communication:**
    - Automation tools use customer data to send relevant messages based on behavior, interests, and purchase history.
    - Enhances customer engagement and experience.
3. **Better Lead Management:**

    - Helps track and score leads based on their actions (e.g., website visits, downloads, inquiries).
    - Ensures the sales team focuses on qualified and high-potential leads.
4. **Increased Sales and Customer Retention:**
    - Automated follow-ups and nurturing campaigns encourage repeat purchases and long-term relationships.
    - Helps convert potential buyers into loyal customers.
5. **Consistent Marketing Execution:**
    - Ensures campaigns run on time without delays or human errors.
    - Maintains brand consistency across all communication channels.
6. **Performance Tracking and Analytics:**
    - Provides detailed reports on customer response, campaign success, and ROI.
    - Businesses can make data-driven decisions and improve future strategies.

Q7. Explain various functionality offered by MA software.

Marketing Automation (MA) software provides a range of tools to automate, manage, and analyze marketing tasks. It helps businesses streamline workflows, improve targeting, and deliver personalized customer experiences at scale.

Key Functionalities of MA Software:

1. **Email Campaign Automation:**
    - Automates sending newsletters, promotional emails, reminders, and follow-up messages.
    - Supports scheduling, personalization, and A/B testing to improve engagement.
2. **Lead Generation and Lead Scoring:**
    - Captures leads from forms, landing pages, and websites.
    - Assigns scores based on customer actions (such as clicks or downloads) to identify high-quality leads for sales teams.
3. **Customer Segmentation:**

- Groups customers based on behavior, demographics, interests, and purchase history.
- Allows targeted and personalized campaigns instead of one-size-fits-all messaging.

4. **Campaign Management:**
    - Enables planning, executing, and monitoring marketing campaigns across multiple channels.
    - Ensures consistent branding and messaging across email, social media, and web platforms.
5. **Behavior Tracking and Personalization:**
    - Tracks customer activities like website visits, product views, or interactions.
    - Helps deliver personalized recommendations and messages based on behavior.
6. **CRM Integration:**
    - Connects with CRM systems to sync customer data, sales history, and communication records.
    - Supports alignment between marketing and sales teams.
7. **Analytics and Reporting:**
    - Provides reports on campaign performance, conversion rates, open rates, ROI, and customer engagement.
    - Helps businesses make data-driven marketing decisions.

Q8. What are the components of Oracle SFA solution?

Oracle SFA (Sales Force Automation) is a part of Oracle CRM that helps automate sales activities like lead tracking, forecasting, customer communication, and pipeline management. It supports sales teams by providing tools to improve productivity, accuracy, and customer engagement.

Key Components of Oracle SFA Solution:

1. **Contact and Account Management:**
    - Stores and manages customer information including names, history, communication details, and interactions.

    - Helps sales teams maintain updated customer records for better relationship management.

2. **Opportunity and Pipeline Management:**
    - Tracks sales opportunities from initial contact to closure.
    - Provides visibility into the sales pipeline to help forecast revenue and plan sales strategies.
3. **Lead and Campaign Management:**
    - Captures leads from different channels and helps assign them to sales representatives.
    - Supports managing marketing campaigns, follow-ups, and tracking conversions.
4. **Sales Forecasting:**
    - Provides accurate predictions of future sales based on current data, trends, and opportunities.
    - Helps in planning resources, targets, and business strategies.
5. **Order and Quote Management:**
    - Automates creation of quotes, product configurations, and order processing.
    - Ensures accurate pricing and reduces manual errors.
6. **Activity and Task Management:**
    - Tracks tasks, schedules, appointments, and communication related to customers and sales deals.
    - Improves time management and ensures timely follow-ups.
7. **Sales Analytics and Reporting:**
    - Generates reports and dashboards related to performance, revenue, customer behavior, and sales trends.
    - Helps managers monitor efficiency and identify improvement areas.

Q9. Explain Customer Service Excellence standard criteria and elements.

The Customer Service Excellence (CSE) standard is a framework used by organizations to measure, improve, and maintain high-quality customer service. It focuses on

understanding customer needs, delivering consistent service, and continuously improving customer satisfaction.

Main Criteria and Elements of the CSE Standard:

1. **Customer Insight:**
    - Organizations must understand customer needs, expectations, and preferences.
    - This includes customer profiling, feedback collection, and using data to shape services.
2. **The Culture of the Organization:**
    - Customer service must be embedded in the organization's values, employee behavior, and work culture.
    - Staff training, communication, and leadership commitment are key elements.
3. **Information and Access:**
    - Customers should receive accurate, clear, and timely information.
    - Services should be easy to access through multiple channels like email, website, phone, or in-person service.
4. **Delivery Standards:**
    - The organization must set measurable service standards and ensure consistent performance.
    - Includes speed of response, accuracy, reliability, and meeting promised timelines.
5. **Timeliness and Quality of Service:**
    - Service should not only be fast but also high quality and error-free.
    - Organizations must continuously monitor service performance and resolve issues quickly.

Q10. What are the benefits from service automation?

Service automation refers to the use of technology to automate customer service activities such as complaint handling, request processing, ticket management, and communication. It helps organizations provide faster, accurate, and consistent service to customers.

Benefits of Service Automation:

1. **Improved Efficiency:**
    - Routine tasks like ticket assignment, status updates, and follow-ups are automated.
    - This reduces manual workload and speeds up service operations.
2. **Faster and Consistent Response:**
    - Customers receive quick answers through automated replies, chatbots, and self-service tools.
    - Responses remain standard and error-free, improving service reliability.
3. **Cost Savings:**
    - Automation reduces the need for large support staff and minimizes repetitive human tasks.
    - It helps serve more customers at a lower operational cost.
4. **Better Customer Experience:**
    - Features like knowledge bases, automated appointment scheduling, and service tracking improve convenience.
    - Customers feel supported without long waiting times.
5. **Improved Monitoring and Analytics:**
    - Automation tools generate detailed reports on service performance, customer issues, and resolution times.
    - This helps management identify gaps and continuously improve service quality.
6. **Higher Customer Satisfaction and Retention:**
    - Fast and reliable service builds trust and positive customer relationships.
    - Satisfied customers are more likely to remain loyal and recommend the company.

UNIT 3

Q1. Explain Structured and Unstructured Data.

Data used in CRM and business decision-making can be categorized into two major types: **structured** and **unstructured** data. Both types are important as they help organizations understand customer behavior and improve business strategies.

1. Structured Data:

Structured data is highly organized and stored in a predefined format such as tables, rows, and columns. It can be easily entered, stored, searched, and analyzed using traditional database systems.

Features:

- Stored in relational databases like SQL.
- Fixed schema and clearly defined fields.
- Easy to process using mathematical and statistical tools.

Examples:
Customer IDs, phone numbers, purchase history, pricing, sales reports, demographic information.

Benefits:

- Easy to analyze and generate reports.
- Higher accuracy and consistency.
- Suitable for automation, dashboards, and forecasting.

2. Unstructured Data:

Unstructured data does not follow a fixed structure or format. It is more complex and often requires advanced tools such as AI, NLP, and Big Data platforms to analyze and extract meaning.

Features:

- No fixed schema or structure.
- Difficult to store in traditional databases.
- Highly descriptive and rich in insights.

Examples:
Emails, social media comments, customer reviews, call recordings, images, videos, chat messages.

Benefits:

- Provides deeper understanding of customer sentiments, opinions, and expectations.
- Useful for personalization and improving customer experience.

Conclusion:

Structured data provides measurable facts, while unstructured data offers deeper insights into customer behavior. Together, they help organizations make better strategic and customer-focused decisions.

Q2. How to develop customer related database?

A customer-related database is created to store and manage customer information such as contact details, purchase history, preferences, and interactions. Developing such a database helps improve CRM activities like segmentation, targeting, and personalization.

1. **Identify Required Customer Information:**
    - The first step is to clearly decide what type of customer data is needed, such as name, contact details, demographics, purchase history, communication records, and preferences.
    - This ensures only useful and relevant information is collected.
2. **Collect Data from Different Sources:**
    - Customer information should be gathered from various touchpoints like websites, sales transactions, call centers, feedback forms, social media, loyalty programs, and email subscriptions.
    - Multiple sources help build a complete and accurate customer profile.

3. **Store and Organize the Data:**
    - The collected data is stored in CRM software, relational databases (SQL), or cloud-based platforms.
    - Standard field formats and proper classification are used to make the database structured and easy to retrieve.
4. **Clean, Validate, and Integrate Data:**
    - Duplicate, incorrect, or outdated entries are removed to maintain data accuracy.
    - The database is integrated with other systems like marketing tools, billing systems, and automation platforms for a centralized customer view.
5. **Secure, Maintain, and Update Regularly:**
    - The database must be protected through encryption, access control, and backup policies to ensure data privacy and compliance.
    - It must also be updated regularly with new interactions, purchases, and changes in customer details to keep it accurate and useful.

Q3. Write short note on Data Integration.

Data Integration is the process of collecting and combining data from multiple internal and external sources into a single, unified view. In CRM, it ensures that customer information from various systems such as sales, marketing, finance, and customer service is merged and available in one centralized platform.

Key Points:

1. **Combines Multiple Systems:**
    - Data integration connects different systems like ERP, CRM, websites, call centers, and social media platforms.
    - This ensures all departments access the same customer information.
2. **Improves Data Quality and Consistency:**
    - Duplicate, outdated, and incomplete records are cleaned and standardized.
    - Ensures accuracy and uniformity across the organization.
3. **Supports Decision-Making:**

- Integrated data provides a holistic view of the customer, allowing better analysis, forecasting, and planning.

4. **Enhances Customer Experience:**
    - With complete and updated information, companies can personalize communication and deliver better service.
5. **Uses ETL and Middleware:**
    - Technologies like ETL (Extract, Transform, Load), APIs, and middleware tools help automate and streamline integration.

4. What is Data Warehousing? Explain features of Data Warehousing.

A **Data Warehouse** is a centralized repository that stores large volumes of data collected from multiple sources such as CRM systems, business operations, finance, marketing, and external databases. It is mainly used for analysis, reporting, and business intelligence rather than daily operations.

Features of Data Warehousing:

1. **Subject-Oriented:**
    - Data is organized around key business subjects such as customers, products, sales, or marketing rather than specific applications.
    - This structure helps simplify reporting and analysis.
2. **Integrated:**
    - Data from multiple sources is standardized with consistent naming conventions, codes, formats, and units.
    - This ensures uniformity across the system.
3. **Time-Variant:**
    - A data warehouse stores historical data over long periods (months or years).
    - This allows trend analysis, forecasting, and performance comparison over time.
4. **Non-Volatile:**
    - Once data enters the warehouse, it is stable and not frequently modified or deleted.
    - Only adding (loading) and reading occur, making it reliable for analysis.

5. **Supports Analysis and Business Intelligence:**
    - Used for dashboards, reports, data mining, OLAP analysis, and decision-support systems.
    - Helps management make informed and strategic decisions.

Q5. Explain basic data configuration for CRM analytics.

Basic data configuration in CRM analytics refers to the process of organizing, preparing, and structuring customer data so that it can be analyzed effectively for decision-making. Proper configuration ensures accurate reporting, segmentation, forecasting, and insight generation.

Steps in Basic Data Configuration:

1. **Data Collection:**
    - Collect data from multiple sources such as CRM systems, sales records, customer feedback, websites, mobile apps, and social media.
    - The objective is to gather all relevant customer-related information.
2. **Data Cleaning and Validation:**
    - Remove duplicate entries, incomplete records, and outdated information.
    - This step ensures accuracy, consistency, and reliability of customer data.
3. **Data Classification and Structuring:**
    - Organize data into meaningful categories such as demographic, behavioral, transactional, and interaction data.
    - Standardize formats like date, currency, names, and codes for uniform analysis.
4. **Data Integration:**
    - Combine data from different systems (ERP, billing, support, marketing tools) into a centralized database or data warehouse.
    - Integration enables a single, complete customer view.
5. **Data Storage and Access Management:**
    - Store configured data in secure and scalable platforms, such as cloud storage or data warehouses.

- Define access rights to ensure only authorized users can view or modify data.

6. **Data Modeling and Preparation for Analytics:**
    - Create data models, dashboards, and metrics such as customer lifetime value (CLV), churn rate, purchase frequency, and lead conversion.
    - This prepares the data for reporting, insights, and decision-making.

Q6. Explain 3V's of Big Data Analytics.

The **3V's of Big Data Analytics** are key characteristics used to define and understand Big Data. They help explain how Big Data is generated, stored, and analyzed. The three dimensions are **Volume, Velocity, and Variety**, and together they determine the complexity and value of data in analytics systems.

1. Volume:

- Volume refers to the **huge amount of data** generated from various digital sources like social media, CRM systems, IoT devices, online transactions, and business applications.
- The data size may range from terabytes to petabytes or even exabytes.
- Traditional databases cannot handle this scale, so technologies like **Hadoop, NoSQL databases, and cloud storage** are used to store and manage large datasets.

2. Velocity:

- Velocity indicates the **speed at which data is created, transmitted, and processed**.
- Modern systems generate data in **real-time** or **near real-time**, such as online payments, live GPS tracking, streaming content, or sensor data.
- Big Data tools like **Apache Kafka, Apache Spark, and real-time analytics platforms** allow businesses to analyze data instantly and make quick decisions.

3. Variety:

- Variety refers to the **different forms and formats of data** collected from multiple sources.
- Data can be:
    - **Structured:** Tables, numeric records, databases
    - **Semi-structured:** Emails, XML, logs

    - **Unstructured:** Videos, audio, images, social media posts, text
- Big Data technologies are designed to process all these diverse formats and extract useful insights.

Q7. What are different ways to generate analytical insight?

Analytical insight refers to meaningful conclusions drawn from data that help organizations make informed decisions. There are several methods and tools used to generate insights from customer and business data.

Ways to Generate Analytical Insight:

1. **Descriptive Analytics:**
    - Summarizes past data to understand what has already happened.
    - Uses reports, dashboards, charts, and summaries.
    - Example: Monthly sales reports, customer behavior trends.
2. **Diagnostic Analytics:**
    - Explores data to determine the reasons behind certain outcomes.
    - Uses techniques such as drill-down analysis, correlation, and root cause analysis.
    - Example: Identifying why customer complaints increased.
3. **Predictive Analytics:**
    - Uses statistical models, machine learning, and historical data to predict future outcomes.
    - Helps estimate customer churn, demand forecasting, or future sales.
4. **Prescriptive Analytics:**
    - Suggests actions based on predictions to optimize outcomes.
    - Uses simulations, optimization tools, and recommendation engines.
    - Example: Best discount strategy to retain customers.
5. **Data Mining:**

- Identifies hidden patterns, associations, and relationships within data.
- Techniques include clustering, classification, association rules, and sentiment analysis.

6. **Visualization and Dashboard Tools:**
    - Tools like Power BI, Tableau, or CRM dashboards help convert complex data into understandable visual formats.
    - Helps decision-makers quickly identify patterns and trends.

Q8. Explain five steps implementation model of CRM.

The five-step CRM implementation model provides a structured approach for planning, executing, and managing CRM systems within an organization. It ensures that CRM goals are clear, technology is properly used, and employees adapt to new processes.

Steps in CRM Implementation:

1. **Strategic Planning:**
    - The first step involves defining CRM goals, scope, and expected benefits.
    - Management identifies key customer segments, business processes, and areas for improvement.
    - A CRM roadmap is created with timelines and responsibilities.
2. **Process Redesign:**
    - Existing business processes such as sales, marketing, and customer service are analyzed.
    - Inefficiencies are removed, and new workflows are designed to align with CRM objectives.
    - This step ensures the organization is ready for automation and customer-focused operations.
3. **Technology Selection:**
    - The organization selects suitable CRM software and supporting tools based on requirements, budget, and scalability.
    - Integration with existing systems (ERP, billing, service tools) is planned.
    - Cloud-based, on-premise, or hybrid solutions may be evaluated.
4. **Training and Change Management:**

- Employees are trained to understand CRM features, new processes, and customer-focused behavior.
- Communication, support, and motivation are provided to encourage adoption and reduce resistance to change.

5. **Implementation, Testing, and Review:**
    - The CRM system is deployed either in phases or all at once.
    - Testing ensures the system works correctly and meets business requirements.
    - After implementation, performance is reviewed, feedback is collected, and improvements are made.

Q9. Write short note on process engineering.

Process engineering refers to the systematic analysis, redesign, and improvement of business processes to make them more efficient, cost-effective, and customer-focused. In CRM, process engineering ensures that workflows such as sales, marketing, and customer service support better customer experience and organizational goals.

Key Points:

1. **Process Analysis:**
    - Existing processes are studied to identify gaps, delays, repetitive tasks, and inefficiencies.
    - Tools like flowcharts and process maps are used.
2. **Process Redesign:**
    - Old or ineffective steps are removed, and improved processes are created.
    - The redesigned process aims to simplify work, reduce errors, and support automation.
3. **Technology Integration:**
    - CRM tools and automation technologies are applied to support redesigned workflows.
    - This ensures consistent execution and better data management.
4. **Employee Training and Adoption:**
    - Staff are trained to follow the new processes and use updated systems.

- Change management helps reduce resistance and improve performance.

5. **Continuous Improvement:**
    - Processes are regularly reviewed and updated based on feedback, customer needs, and business goals.
    - Ensures long-term efficiency and adaptability.

Q10. How to evaluate performance of CRM?

Evaluating CRM performance helps organizations determine whether the CRM system is achieving its goals such as improving customer satisfaction, increasing sales, and enhancing business efficiency. Proper evaluation ensures continuous improvement and better return on investment.

Methods to Evaluate CRM Performance:

1. **Customer Satisfaction Metrics:**
    - Surveys, feedback, Net Promoter Score (NPS), and complaint analysis are used to measure how satisfied customers are with service quality and responsiveness.
2. **Customer Retention and Loyalty Rate:**
    - Tracking repeat purchases, renewal rates, and churn rate helps determine whether CRM is improving long-term customer relationships.
3. **Sales Performance and Revenue Growth:**
    - Comparing sales before and after CRM implementation helps evaluate improvements in lead conversion, cross-selling, and upselling.
4. **Operational Efficiency Measures:**
    - CRM reduces response time, simplifies processes, and improves coordination across departments.
    - Metrics like service resolution time and cost reduction help measure efficiency gains.
5. **Employee Usage and Adoption:**
    - Monitoring user activity, training participation, and system usage shows whether employees are using CRM effectively.

- Higher adoption usually indicates successful implementation.

6. **Return on Investment (ROI):**
    - Financial analysis compares CRM costs with benefits such as increased revenue, reduced marketing expenses, and improved customer lifetime value.